

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TOYOTA DE PUERTO RICO, CORP.
Complainant

v.

PUERTO RICO PORTS AUTHORITY;
CROWLEY PUERTO RICO SERVICES;
AND OCEANIC GENERAL AGENCY INC.
Respondents

Docket No. 19-02

REPLY
IN SUPPORT OF TOYOTA'S
BRIEF IN COMPLIANCE WITH
ORDER LIFTING STAY AND REQUIRING BRIEFING
TO ADDRESS LACK OF SOVEREIGN IMMUNITY

TO THE HONORABLE ERIN M. WIRTH, Administrative Law Judge:

COMES NOW, Complainant, Toyota de Puerto Rico Corp., (herein after “Toyota”) by and through the undersigned attorneys, and very respectfully submits this Reply (“Reply”) in Support of its Brief in compliance with the Order Lifting Stay and Requiring Briefing (“Brief”), filed in response to Puerto Rico Ports Authority’s (“PRPA”) Opposition (“Opposition”), served January 19, 2020:

I. Summary of argument

Both the Brief and the Opposition make it abundantly clear that *Dantzler*'s¹ footnote 6 did not decide the question of PRPA's sovereign immunity. A reading of both motions confirms that the footnote is conclusory in nature and was unhelpful as to the complex multi-factor analysis required by the case law. As a result, there is not much that PRPA was able to take from its text in support of its Opposition. Instead, and inevitably, PRPA had to re-argue its sovereign immunity position considering the prior case law that had in fact, and in substance, analyzed the question. Therefore, we hereby incorporate by reference the Brief's original analysis and focus this reply only on new matters raised by the Opposition.

According to the Opposition, pp. 12 and 14, Toyota is just questioning whether PRPA, as a matter of law, can implement the cargo scanning program and impose a fee for its scanning services. This is a gross mischaracterization of Toyota's complaint. Toyota challenges neither

¹ *Dantzler, Inc. v. Empresas Berríos Inventory and Operations, Inc.*, 958 F.3d 38 (1st Cir. 2020).

prerogative. Instead, Toyota challenges the application of the scanning fees to Toyota's vehicles, which were not "container cargo" under Art. II of Regulation 8067.

Even if the *implementation* of scanning lanes were a "governmental function", as PRPA argues, charging for its services clearly is not. Under the *Thacker*² decision that PRPA and *Dantzer* invoke, and under PRPA's own candid admission in its Opposition at p. 13,³ PRPA is not entitled to sovereign immunity for the claim at issue in this litigation.

II. Discussion

According to the Opposition, at p. 7, Act 12-2008 "significantly restructured PRPA's role and functions, requiring it to lead efforts to curtail potential terrorist attacks, trafficking of contraband and tax evasion through the Port of San Juan." PRPA concludes that this is a governmental function, that Toyota is challenging it, and that PRPA's sovereign immunity protects it against such a challenge. This argument suffers from several deficiencies. We focus on two: it relies on a painfully hyperbolic reading of Act 12 and on a gross misconstruction of Toyota's complaint.

A. PRPA's role under Act 12 is limited to installing the fast-scanning lanes.

Act 12 does not invest PRPA with any leadership role against terrorism. It merely tasks PRPA with implementing fast lanes for the inspection of goods entering through ocean transport into the island. 23 LPRA §3222(c). Otherwise, Act 12 recognizes that several agencies share

² *Thacker v. Tenn. Valley Auth.*, — U.S. —, 139 S. Ct. 1435, 203 L.Ed.2d 668 (2019).

³ The Opposition literally asserts: "If PRPA's role were that of solely a proprietor/landlord, which it is not, Act 12 would have simply required it to *provide space within its property for other entities to run the program.*" As per PRPA's contract with Rapiscan, that is *precisely* what PRPA has done: rent space on its premises to Rapiscan, for that company to install, maintain and operate its own scanning equipment, and charge the ocean carriers for its services. See Exhibit A of the Opposition, beginning at p. 33.

responsibility for the implementation of port security⁴. These responsibilities are apportioned in two interagency agreements. The first of these agreements makes it clear that it does not expand the statutory powers of signatory agencies, by explicitly recognizing that each executes the agreement in the exercise of the powers granted to it by law.⁵ The second of these agreements, discussed extensively in Toyota's Brief, makes it clear that PRPA "is not the government instrumentality with the proper legal jurisdiction and authority to intervene as of right" with contraband.⁶ Instead, the agreement implements the mechanics of how PRPA will enable the Treasury to discharge this task. It requires PRPA to allow the Treasury to place its own employees in the scanning locations, where a private entity known as "S2", not PRPA,⁷ was already conducting scanning operations. According to the agreement, Treasury employees would attend the scanning process and be trained by S2 to interpret scanning images.⁸

This, in turn, takes us to our next revelation: that PRPA's role was more akin to that of a "proprietor/landlord [...] to provide space within its property for other entities to run the program". This is a quote from the Opposition, according to which such a limitation of PRPA's role would be incongruous with a governmental function. Yet, the agreement between PRPA and Rapiscan Systems, Inc. ("Rapiscan"), seems to reduce PRPA's role to just that.

⁴ See 23 LPRA § 3222 (The "implementation of port security models must be a priority for the agencies responsible of this area of infrastructure".)

⁵ See page 45 of Exhibit B of the Opposition, which contains Clause Seventh of the *Inter-Agency Agreement for the Implementation of the Automated Cargo and Merchandise Control System*, executed on August 2, 2007, by the Department of State, PRPA, the Department of the Treasury, the Department of Transportation, the Police Department and the Office of Management and Budget.

⁶ See page 90 of Exhibit A of the Opposition, which contains The Memorandum of Understanding, executed only between the Treasury and PRPA, on February 16, 2011.

⁷ When describing this agreement, the Opposition inaccurately refers to the roles assigned to S2 as assigned to "PRPA".

⁸ See page 92, 93-5 (¶¶1, 3, 4, 6, 7, 9) of Exhibit A of the Opposition.

B. The privatization of the implementation and operation of the scanning lane program contradicts the nature of a governmental function.

PRPA essentially privatized the scanning operation. Rapiscan submitted a proposal for a “complete turn-key solution” to inspect 100% of inbound cargo in the Port of San Juan.⁹ On December 17, 2009, PRPA entered a contract with Rapiscan for the latter to provide cargo scanning services from PRPA’s premises, in exchange for a fee. In this agreement, PRPA granted Rapiscan a right to use its facilities, to ingress and egress, and to retain title to all its personal property and scanning equipment used to provide the services.¹⁰ It also tasked Rapiscan with maintaining the equipment, providing scanning services with its own “RAPISCAN Screening staff”, trained by Rapiscan, referring irregularities to the authorities identified by PRPA, and even collecting the scanning fee,¹¹ among other aspects of the program. Not even a year later, Rapiscan assigned its contract with PRPA to its related entity, S2.¹²

The fact that PRPA placed the scanning operation completely in the hands of a private provider and even allowed said provider to assign it, contradicts its nature as a governmental function. According to *Thacker v. Tennessee Valley Auth.*, 139 S. Ct. 1435, 1443 (2019), a decision invoked by both the Opposition and *Dantzler’s* footnote 6, “[t]he possibility of immunity arises only when a suit challenges governmental activities - the kinds of functions private parties typically do not perform.” In contrast, when a government entity “exercises the power of eminent domain, taking landowners' property for public purposes, no one would confuse it for a private company. So too when the [entity] exercises its law enforcement powers to arrest individuals. *Id.*

⁹ See p. 34 of Exhibit A of the Opposition.

¹⁰ *Id.* at pp. 38-41.

¹¹ *Id.* at pp. 71-76.

¹² See Supplementary Agreement, starting at page 85 of Exhibit A of the Opposition.

In the captioned case, the privatization of the scanning program reveals that it is a task that a private party can and typically does perform, a far cry from the functions described by *Thacker* as legitimately governmental, and which only the government can perform.

C. Even if the privatization of the scanning program were a governmental function, PRPA has not met the *Thacker* test to avoid its “sue and be sued” clause.

For the sake of argument, we will assume that scanning program is indeed a governmental function. If so, PRPA has nonetheless failed the *Thacker* test for sovereign immunity.

PRPA's enabling act creates it as a “public corporation with existence and legal personality separate from the government”, whose debts are its own and not those of the government.¹³ It contains, among other broad prerogatives, a sue and be sued clause.¹⁴ Under *Thacker*, such a clause constitutes a broad immunity waiver which demands a liberal construction that can be defeated only if the government meets a high bar, as follows:

...an entity with a sue-and-be-sued clause may receive immunity only if it is “clearly shown” that prohibiting the “type[] of suit [at issue] is necessary to avoid grave interference” with a governmental function's performance. [citations omitted] That is a high bar. But it is no higher than appropriate given Congress's enactment of so broad an immunity waiver—which demands, as we have held, a “liberal construction.”

Thacker v. Tennessee Valley Auth., *supra* at p. 1443.

PRPA has failed to meet this burden because, as mentioned at the outset of this discussion, Toyota's complaint does not challenge the alleged governmental function of implementing the scanning program, as PRPA boldly misconstrues. Instead, it challenges the application of the

¹³ 23 L.P.R.A. §333(b).

¹⁴ 23 L.P.R.A. § 336(e). It also grants PRPA the responsibility of charging for the use and services it may provide in sums sufficient to cover its costs and that may facilitate the issuance of bonds it may decide to issue, as well as the prerogative to borrow money.

scanning fees to Toyota's vehicles, which were not "container cargo" under Art. II of Regulation 8067. PRPA would be hard pressed to argue that requiring PRPA to ensure that its fees are implemented pursuant to law would have a "grave impact" in the performance of the scanning program. In fact, PRPA does not even attempt to argue that.

D. Matters outside the question of sovereign immunity are premature and should not be addressed.

The *Order Lifting Stay and Requiring Briefing* issued by the Chief Administrative Law Judge, limited the briefs to "supplementing their arguments regarding whether this proceeding should be dismissed on sovereign immunity grounds and raising any arguments regarding the May 2020 decision in *Dantzler*." The Opposition, however, addresses matters beyond this question. These extraneous matters include whether Toyota has standing to sue and whether it passed on to clients any amounts sought in its complaint. This Reply will not address these matters as they were improperly and prematurely briefed, and this forum should refrain from addressing or resolving them too.

III. Conclusion

This is not a lawsuit over PRPA's governmental activities. Toyota is not challenging PRPA's authority to implement the scanning program or to charge for scanning services. Toyota is challenging the application of the scanning fees to Toyota's vehicles, which were not "container cargo" under Art. II of Regulation 8067. Even if the former could be a governmental function, something belied by PRPA's privatization of the program, the latter (imposing fees for services), is the sort of activity that private parties typically perform.

Moreover, given PRPA's broad sue and be sued clause, PRPA cannot defeat sovereign immunity unless it proves that the complaint at issue poses a "grave impact" on its alleged governmental prerogatives. PRPA did not try to do that and would be hard pressed to meet *Thacker's* "high burden" where all that is required from PRPA in this complaint is to ensure its fees as to Toyota are legally applied.

WHEREFORE, Toyota hereby prays that this Honorable Forum take notice of the above and of its Brief and reject PRPA's contention that this complaint is barred by sovereign immunity.

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 26th day of January 2021.

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CERTIFICATE OF SERVICE

We hereby certify that on this same date we served a copy of the foregoing document upon each and all parties of record through their respective attorneys by electronic mailing to the following addresses:

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